Viavi Solutions (VIAV)

AI Test Equipment Turnaround

Analyst: Justin Wen

*AI Test Equipment Turnaround. Q4 FY26 revenue +52.5% YoY to $443.1M, non-GAAP EPS $0.34 (beat). NSE +69% on AI data center test demand; data center is ~50% of NSE revenue. FY26 non-GAAP operating margin expanded 630bps to 20.6% [8-K Q4 FY26]. Spirent Diversification. The Spirent acquisition adds high-speed Ethernet testing, network security, and channel emulation, reducing dependence on telecom carrier capex and opening cross-sell into AI clusters [8-K Q4 FY26]. Reasonable Valuation. At $33.38 [Mkt 16-Oct-26], the stock trades 17% below our $40.13 DCF base. NTM P/E 17.1x is fair for 20%+ growth. The turnaround is working; the price has not run ahead of it. Our framework screens it as a **Hold** with a $37.85 blended target, 13% above the current price.*

HOLD	$37.85	+13%	$33.38
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Spirent Diversification. The Spirent acquisition adds high-speed Ethernet testing, network security, and channel emulation, reducing dependence on telecom carrier capex and opening cross-sell into AI clusters [8-K Q4 FY26].

Reasonable Valuation. At $33.38 [Mkt 16-Oct-26], the stock trades 17% below our $40.13 DCF base. NTM P/E 17.1x is fair for 20%+ growth. The turnaround is working; the price has not run ahead of it.

$443.1M	$0.34	24.0%	$450-460M	$1.52B	$1.00
REVENUE (Q4 FY26)	EPS (Q4 FY26, NON-GAAP)	NON-GAAP OP MARGIN (Q4)	Q1 FY27 REVENUE GUIDE	REVENUE (FY26)	EPS (FY26, NON-GAAP)

The moat is structural

AI data center test demand: NSE +69% YoY, data center ~50% of NSE revenue

Three scenarios make the valuation range explicit

The DCF values Viavi Solutions across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$18.51**	-45%
Base	50%	**$40.13**	+20%
Bull	25%	**$52.64**	+58%

Bear ($18.51, -45%): Growth disappoints and multiples compress; the $18.51 target marks the downside case.

Bull ($52.64, +58%): Execution compounds and the multiple rerates; the $52.64 target marks the upside case.

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The probability-blended target implies +13% upside

Blended target: $37.85 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +13% upside from the $33.38 reference price.

$37.85

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 17.1x [Mkt 16-Oct-26] DCF Base $40.13 vs $33.38 spot [Mkt 16-Oct-26] PEG 1.34 [Mkt 16-Oct-26] DCF implies ~20% upside. Multiple is fair for the growth profile.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $37.85 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI data center test demand: NSE +69% YoY, data center ~50% of NSE revenue [8-K Q4 FY26]

Spirent acquisition: high-speed Ethernet testing, network security, channel emulation [8-K Q4 FY26]

Aerospace & defense: positioning, navigation, timing solutions growing [8-K Q4 FY26]

What to monitor

Nov 2026. Q1 FY27 Earnings: $450-460M revenue guide vs consensus. Spirent synergy proof point.

2027. Spirent cross-selling and 1.6T/co-packaged optics test demand.

2027. Continued data center mix shift toward 50%+ of NSE revenue.

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REVENUE (Q4 FY26)	EPS (Q4 FY26, NON-GAAP)	NON-GAAP OP MARGIN (Q4)	Q1 FY27 REVENUE GUIDE

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2026	$1.5B	$875M	$-30M

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2025	$1.1B	$621M	$35M
2024	$1.0B	$576M	$-26M
2023	$1.1B	$639M	$26M

Key risks

Earnings Quality. GAAP earnings remain depressed by amortization and restructuring; the non-GAAP story must eventually convert to cash. [10-K FY26]

Telecom Drag. Legacy telecom carrier spending is structurally weak and drags on the core NSE business. [10-K FY26]

Integration Risk. Spirent integration missteps would undermine the growth thesis and the multiple. [10-K FY26]

Investment view

A Q1 FY27 miss would cut Trend and Growth. Sustained 20%+ growth with GAAP earnings conversion supports a higher multiple.

Hold. The $37.85 blended target implies +13% upside, balancing the $18.51 / $40.13 / $52.64 Bear / Base / Bull targets.

Spirent acquisition: high-speed Ethernet testing, network security, channel emulation [8-K Q4 FY26]

Aerospace & defense: positioning, navigation, timing solutions growing [8-K Q4 FY26]

Upcoming catalysts

Nov 2026. Q1 FY27 Earnings: $450-460M revenue guide vs consensus. Spirent synergy proof point.

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